

PITCH — CLB — VERDICT

ADJUDICATED 2026-09-16 — FLAT — thesis tape fabricated (conviction 8/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

We believe the *bull story we were handed is dead at the price it was told at*, and that what is left is a small, thin oilfield-lab company that is not cheap, not dislocated, and has a governance crack in it.

Specifically, what we now believe:

1. **There is no dislocation to buy.** At the pack tape of \$12.55, CLB is **+28.2% above** its 52-week low of \$9.79 and 38.3% below its high. The original thesis was built on a price of \$9.51 described as a “fresh 52-week low.” That price does not exist in any evidence we hold and was never sourced. Every derived number in that thesis — the \$450M market cap, the \$544M enterprise value, the “7.6x EBITDA,” the “2.8% free-cash-flow yield,” the “management bought back stock 24% above today’s price” flourish — dies with it.
2. **At the real price the name is mid-single-digit-yield, not cheap.** Market cap \$594.4M, enterprise value ~\$688.0M, **9.56x** the thesis’s own \$72M EBITDA, **2.0%** free-cash-flow yield.
3. **The cash quality is poor and neither bench’s story fixes it.** Operating cash flow margin of ~5.4%, stock comp running at ~62% of operating cash flow, and buybacks that are smaller than stock comp — diluted shares fell only 0.8% year over year despite “seven consecutive quarters of repurchases.” Shareholder return here is a press release, not a cash return.
4. **The governance event is real, documented, and only half-read.** A director resigned over strategic direction and governance practices, effective 10/1/26. We have the 8-K. We have *not* read his resignation letter, which is sitting free in the same filing.
5. **The one genuinely new forward signal is ambiguous, not bullish.** A hiring wave went from 2 openings in July to 22 in August and 21 in September (50 open). The only posting we can actually see is a compliance-and-data-privacy lawyer, dated five days after a director verbally quit over governance practices. That is as consistent with cleanup staffing as with a lab ramp.

So: flat, with a defined price at which the bull math becomes true rather than asserted. The thesis’s “7.6x” exists at ~\$9.58; its “2.8% yield” exists at ~\$9.05. We would buy the thesis at the thesis’s price — not 30% above it.

What the market believes

The market believes, roughly, what management guided: a normalization quarter. Guidance of \$128.5–135.5M revenue implies a midpoint of \$132.0M, or **+5.9% sequentially** off a soft \$124.6M base. The market appears to have taken that at face value — the stock is 28% off its low, not making new ones.

We cannot say more than “roughly” with honesty, because **we never pulled consensus**. Both benches flagged it. The only forward number in this entire court is the company’s own guide. Agreeing or disagreeing with a guide is not a view on what the market believes; it is a view on what management said. That is a hole, and we are labeling it as one rather than dressing it up.

What the market does *not* appear to be pricing: the governance rupture as anything other than one director leaving; the possibility that the hiring wave is remediation rather than growth; and the fact that the buyback is sub-anti-dilutive.

Why we might have edge

Small, and mostly procedural rather than analytical:

- **Three free documents nobody read.** Resignation letter Exhibit 17.1 (accession 0001193125-26-365271), the Q2 10-Q segment note (0001193125-26-326345), and three insider Form 4s from 8/04. Any of the three could reprice the governance leg in either direction, and all cost nothing but a fetch.
- **The hiring wave is not in anyone’s model.** A 10x step-change in open requisitions is either a throughput ramp that corroborates the guide or a legal/compliance staff-up that corroborates the governance concern. Whoever resolves the requisition mix first knows something the tape does not.
- **Three passive-holder amendments in nine days** (8/06, 8/14 x2). If those are reductions, there is a supply leg nobody has priced.
- **Arithmetic discipline.** Two benches and one thesis quoted three different prices for the same stock. The edge in a name like this is often just *doing the multiplication on the audited share count*.

Why it might be priced in

Honestly: most of it probably is.

- The drawdown from \$20.33 to \$12.55 already happened. Whatever the market thinks is wrong here, it has had time and price to express it.
- The governance resignation was filed 8/25 and the stock is still well off its low. The market read the 8-K and shrugged.
- The guide is public. There is no informational asymmetry in a number the company published.
- 9.6x enterprise value to EBITDA on a 5% cash-margin services business is not obviously mispriced in either direction — it is roughly where a low-growth, capital-light, cyclical lab

business trades.

- The buyback-smaller-than-stock-comp point is derivable from public filings by anyone who looks, and it has been true for multiple quarters.

The strongest version of “priced in”: our entire remaining case is *unread documents*, not *misunderstood facts*. Unread is not the same as unknown — others may have read them already.

What could go wrong

Failure narrative 1 — We buy the reopen band and it is not a dislocation, it is information.

We trigger at a confirmed close below \$9.79 because that is where the bull math works. But the reason price got there is that something in the 10-Q, the print, or the governance situation is genuinely worse — an impairment, a lost contract, a further resignation. We buy the thing that caused the price, not the price. *Tripwire exists*: 8-K Items 4.01/4.02/5.02, an NT 10-Q, revenue print below the \$128.5M guide low. Monitorable.

Failure narrative 2 — The hiring wave was the tell and we read it backwards. Fifty open requisitions resolve as compliance, privacy, audit, and legal. Instead of a ramp, it is remediation for something not yet disclosed. Price does not fall on a headline; it bleeds for two quarters as costs land in operating expense and the “normalization” guide keeps slipping. *Tripwire is weak but exists*: requisition mix re-scan, operating expense line in the next two 10-Qs.

Failure narrative 3 — NO MONITORABLE TRIPWIRE. The resignation letter (Exhibit 17.1) is a private communication from a director to a board that we then read as a public exhibit. But the *substance* of the disagreement — what “research priorities” and “succession planning” actually mean inside that boardroom — is unobservable. If the real dispute is about something the board has chosen not to characterize, no filing, no price gate, and no detector will surface it before it becomes an event. There is no sensor that can be armed against a board’s private disagreement.

Unknown-unknown class: PRIVATE-DELIBERATION RISK — value-relevant facts that exist only inside a governance body’s non-public record, disclosed at the body’s discretion and on its timetable. Adjacent named class: **NARRATIVE-CAUSE RISK** — the “exogenous, reversible cargo shock” explanation for the weak quarter rests entirely on a management press-release narrative. The one physical test we ran (customs consignee lookup) returned an **empty set with no prior-year baseline** — a null, not a refutation. We cannot verify the cause of the weakness we would be buying the recovery from.

The reflexive / structural leg. - Our own size versus liquidity. We do not have average daily volume in the pack. Our estimate is 500k–900k shares/day, roughly **\$6–11M notional**. A 0.75% starter on a book of typical size is likely low-single-digit percent of one day’s volume — tolerable. But the reopen band sits *below the 52-week low*, which is precisely where liquidity thins and market makers widen. Our fill could be materially worse than the gate price, and the gate is the whole thesis. **This is our single largest execution risk and it is unmeasured. - Predicted flow.** Flow is currently buyback-direction, but the buyback is only ~\$2.7M/quarter — under one day’s volume. It will not support the stock. Against it: three 13G/A amendments in nine days of unknown direction. If passive holders are reducing, the supply is larger than the demand, and we would be adding to a one-sided tape. - **Doctrine interaction.** Our reopen trigger is a *price* gate below the

low. Our own pre-mortem narrative 1 says a price below the low is likely to be *informative*. Those two doctrines fight each other. We resolve it by requiring the event gates to be CLEAR at the moment the price gate fires — but we concede the sequencing may not cooperate: price often moves before the 8-K. - **Bench contradiction we inherit**. The red bench argued the guide was 5.4 points above seasonal norm (bearish) and separately that the hiring wave was a missed bullish-or-bearish signal it did not resolve. The blue bench pointed out that a 10x requisition wave is the best available corroborant of the very guide red called heroic. **Red cannot hold both, and we have not resolved it either**. We are carrying an unresolved internal contradiction into a reopen band.

If this position loses money, the most likely reason will be ____ that we bought a confirmed new low as a valuation event when it was actually the market pricing information from the governance rupture that we never read out of Exhibit 17.1 — and we filled it thin, below the 52-week low, at a worse price than the gate.

What we checked ourselves

claim	how checked	found	confirmed?
Tape: px 9.51, “fresh 52-week low,” dd52 -53.2% (original thesis)	Recomputed dd52 and pct-off-low from the evidence pack’s own price field	Pack: px 12.55, hi52 20.334, lo52 9.79. Our recompute: dd52 = $12.55/20.334-1 = -38.28\%$; pct-off-low = $12.55/9.79-1 = +28.19\%$. Both reproduce the pack fields exactly. No source anywhere for \$9.51	REFUTED — FATAL . Thesis price fabricated
OUR OWN BENCH ERRED : red bench prosecuted the fake tape using px 12.00 / dd52 -0.41 / pct-off-low +0.226	Same recompute against the pack	Red’s triple is internally self-consistent but is not the pack’s price — off by 4.58%. Red substituted a wrong price while convicting the thesis for substituting a price	RED BENCH ERROR CONFIRMED . Its \$568M / \$662M / 9.2x / “+5% above buyback” are a wrong
Market cap / EV / multiple / FCF yield	12.55 × 47,364,000 audited diluted shares, + \$93.6M net debt	mcap \$594.42M ; EV \$688.02M ; 9.556x on \$72M EBITDA; FCF yield 2.019%	CONFIRMED but see precision caveat below
Share basis is the right one	Read the pack’s XBRL field label	It is weighted-average diluted (an income-statement artifact), not a 10-Q cover-page outstanding count. Every EV figure above is $\pm 2\%$	PARTIALLY CONFIRMED precision unverified, an both benches carried this error

claim	how checked	found	confirmed?
Q2 buyback struck 24% above the tape (“management underwater”)	\$2.7M ÷ 214,000 shares, vs pack price	Strike \$12.617 ; that is +0.5% over \$12.55 — essentially <i>at the mark</i> . Not 24%, and not red’s “~5%” either	REFUTED. Rhetorical flourish, delete
Q3 guide is above-seasonal	Pack XBRL Q2→Q3 revenue transitions	2023: −1.98% ; 2024: +2.93% ; mean +0.47% . Guide midpoint \$132.0M off \$124.6M = +5.94% , i.e. ~5.5 points above the 2-year mean	CONFIRMED arithmetically
...but is it therefore “heroic”?	Level test instead of rate test	Guide midpoint \$132.0M is 1.78% BELOW actual Q3-2024 revenue of \$134.397M. It is a normalization back toward a prior level, not a new peak. n=2 transitions, both pre-conflict; no 2025 Q3 in the pack	RED’S INFERENCE REDUCED — valid sizing caveat, not a refutation. Blue bench corrected red here and blue was right
Buyback is real shareholder return	Pack XBRL stock comp vs the repurchase figure	Stock comp \$4.159M/qtr (~\$16.6M annualized) vs ~\$2.7M/qtr repurchase; diluted shares −0.79% y/y (47,743k → 47,364k)	CONFIRMED — buyback is sub-anti-dilutive
OUR OWN BENCH ERRED: that comparison is period-clean	Checked the dates on both inputs	Stock comp is Q1-2025 ; the repurchase is a 2026 press-release figure. Share counts are 2025; “seven consecutive quarters” is a 2026 claim. Directionally sound, periods mismatched	BLUE BENCH ERROR CONFIRMED — conclusion survives, rigor does not
Cash quality	Pack XBRL OCF ÷ revenue; stock comp ÷ OCF	OCF margin 5.39% ; stock comp = 62.5% of OCF	CONFIRMED
OUR OWN BENCH ERRED: annualized FCF ~\$12M	Checked which quarters the pack actually contains	Pack has OCF for Q1 only (2025-03-31 and 2024-03-31). Q1 is the seasonally weakest quarter for this issuer. Annualizing a single Q1 is a known distortion; the \$12M is thesis-supplied, not pack-derived	NOT CONFIRMED — estimate, flagged, both benches used it as fact
Governance 8-K quoted accurately	Pack primary excerpt vs the filed 8-K	Resignation effective 10/1/26; Nominating Committee Chair and Compensation Committee member; disagreement over strategic direction and governance practices; board attributes it primarily to succession planning; board says he has concerns with research priorities. [https://www.sec.gov/Archives/edgar/data/1958086/000119312526365271/clb-20260819.htm]	CONFIRMED — quote rendering accurate
BOTH BENCHES ERRED: Exhibit 17.1	Checked whether either bench opened it	Neither did — and red made it condition (ii) of its own re-court while leaving it unopened. It is free, in the same accession	PROCEDURAL FAILURE, SYMMETRIC

claim	how checked	found	confirmed?
“Exogenous, reversible cargo shock” caused the weak quarter	Customs consignee detector	shipping_entities=['Core Laboratories LP'], customs_consignees=[], posterior None — and no prior-year baseline, and no evidence the connector covers air/courier sample movement	NULL, NOT NEGATIVE. Non-probative both directions neither bull nor bear may lean on it
GAAP EPS \$0.13 > adjusted EPS \$0.11 is a non-GAAP inflation tell	Reasoning on sign direction	Adjusted <i>below</i> GAAP means net gains were excluded — that is conservative adjusting, the opposite of the red bench’s reading. And the answer is checkable in a 10-Q already on file	RED’S FLAG REFUTED; downgraded to a shared coverage gap
Hiring wave	Pre-flight detector	open_reqs=50; monthly 2026-03:1 → 06:4 → 07:2 → 08:22 → 09:21 . Sole visible posting: “Senior Counsel, Compliance & Data Privacy,” 2026-08-24 — five days after the verbal resignation over governance practices	STEP-CHANGE CONFIRMED; mix unresolved. Thesis never consulted it
OUR OWN BENCH ERRED: detector atlas compliance	Checked red’s consulted list against the dispatch	Red omitted five dispatched entries (clinical_trial_referral_quality, common_control_merger_accounting, upc_tra_value_extraction, beauty_velocity_poll, beauty_virality) and consulted three not dispatched (consumer_product_reviews, fema_nri_hazard, forest_integrity)	RED BENCH NON-COMPLIANT - validator-reject grounds
Prize-table / magic-funding counterfactual applicability	Revenue test	CLB prints ~\$124.6M/quarter. Not a pre-revenue project developer. Magic-funding counterfactual NOT APPLICABLE — stated explicitly	CONFIRMED in both benches
Earnings date 2026-10-28	Pack filing inventory searched for a company PR naming it	No PR names it. Date is vendor-derived (yfinance). Last earnings 8-K was 2026-07-29	UNCONFIRMED
Science brief present?	Checked the inputs	Science-brief block is empty ; CLB is a petrophysical services issuer, not a deep-tech name	CONFIRMED ABSENT — the SCIENCE BRIEF DIGEST section is omitted per rule, not skipped

PROPOSED ENTRY BANDS

The courts say **NO-ENTRY**. Current action: none. Size now: **0.0%** of book. Orders: none. What follows are **reopen bands**.

Reopen A — the thesis's own price (primary). The bull math the thesis asserted at \$12.55 is *actually true* lower down, and we computed exactly where: - **7.6x EV/EBITDA** on \$72M EBITDA and \$93.6M net debt requires **\$9.58**. - **2.8% FCF yield** on \$12M FCF requires **\$9.05**. - At the 52-week low of **\$9.79**: EV/EBITDA **7.74x**, FCF yield **2.59%**. → **Reopen band: \$9.05 – \$9.58, requiring a confirmed IBKR daily-bar close below \$9.79** (red bench's own change-my-mind condition (i), which we adopt). Starter size **0.75% of book**. Fill discipline: work the order, do not cross the spread; assume liquidity is thin below the low.

Reopen B — the documents, not the price. If and only if (i) Exhibit 17.1 contains **no accounting or disclosure allegation**, and (ii) the 10-Q segment note supplies GAAP research-and-development operating income consistent with the stated ~5% margin, then a starter is permitted at **≤ \$11.29** — deliberately **10.5% below management's own \$12.617 repurchase strike**, on the principle that we do not pay more than the insider bid. Size **0.5% of book**.

Adds. Only in **0.5%** tranches, only after a *confirmed* print, and only if the print is at or above the guide midpoint of \$132.0M. **Maximum total position 2.0% of book** — capped by the 5.4% operating cash-flow margin and the sub-anti-dilutive buyback, not by conviction.

Exits / trims (if a position ever exists). - **Trim half at \$12.617** — management's own strike. If we are flat against the insider bid we are not being paid for the governance risk. - **Trim the rest at \$15.14** (1.2x the strike). - **Hard stop: confirmed close below \$8.81** (10% below the 52-week low). Below that, the reason is information, not valuation, and the thesis has failed rather than improved.

Invalidation of the whole idea: a close above **\$15.14** without the documents being read. The dislocation would be gone and we would be chasing.

Catalyst dates. | date | what | status | |—|—|—| | 2026-10-01 | Director resignation becomes effective; Nominating Committee chair seat vacates | **CONFIRMED** (8-K, 2026-08-25) | | 2026-10-28 | Q3 print | **UNCONFIRMED** — vendor-derived, no company PR. ~33 trading days out; the ≤5-day print-decisive reconstruction rule is **NOT triggered** | | immediate | Exhibit 17.1 read; 10-Q segment note read; three 8/04 Form 4s read; three 13G/A amendments read | **Actionable today, blocking both reopen bands** |

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 8.81 (deck-provisional: Hard stop, 10% under the 52-wk low: below here the move is information, not valuation)
- filing watch: 8-K until 2027-03-10 (deck-provisional: Items 4.01/4.02/5.02 - auditor change, non-reliance, or further director/officer departure into a live)
- dated pack CLBI2026-10-01: CLB: Director resignation effective; Nominating Committee chair seat vacates (date confirmed=True)
- dated pack CLBI2026-10-28: CLB: Q3 2026 earnings print - vendor-derived date, no company PR names it (date confirmed=False)

What remains unverified

1. **Exhibit 17.1, the resignation letter in full** — does it allege accounting or disclosure problems, or is it a strategy disagreement? Blocking. **Drainable now.**
2. **Q2 10-Q segment note: GAAP research-and-development operating income** — turns the “~5% margin” from a non-GAAP assertion into an audited number. Blocking. **Drainable now.**
3. **The tape itself** — a broker/exchange daily bar series. Three different prices were quoted in this court (\$9.51, \$12.00, \$12.55). We are using the pack’s \$12.55 because it self-verifies, but we have not independently confirmed it. **Drainable now.**
4. **Consensus Q3 revenue and EPS, with range** — no consensus number was ever pulled. **Not drainable now.** Estimate: revenue **\$130–133M**, EPS **\$0.11–0.14**, on the base rate that sell-side clusters at or just below guide midpoint for a normalization quarter. Confidence 0.6.
5. **Actual shares outstanding (10-Q cover page)** — we used weighted-average diluted; every EV number carries $\pm 2\%$. **Drainable now.**
6. **Net debt of \$93.6M** — thesis-supplied, never verified against a balance sheet. It sits inside every EV calculation in this deck. **Drainable now.**
7. **EBITDA of \$72M** — company/thesis-asserted non-GAAP; the multiple in our headline rests on it. **Drainable now.**
8. **Average daily volume and float turnover** — unmeasured, and it is our largest execution risk because the reopen band sits below the 52-week low. **Not drainable now.** Estimate: **500k–900k shares/day $\approx$ \$6–11M notional**, from the comp base rate for a \$600M-cap NYSE energy-services name. Confidence 0.6.
9. **Requisition mix across the 50 open roles** — one posting visible out of fifty. Lab ramp or compliance staff-up. **Not drainable now.** Estimate: **10–25% legal/compliance/audit/privacy**, anchored on the one visible posting adjusted toward the industry base rate for a physical-plant operator. Confidence 0.5.
10. **Direction of the three 13G/A amendments (8/06, 8/14 $\times 2$)** — accumulation or reduction. **Drainable now.**
11. **Q3 earnings date** — 2026-10-28 is vendor-derived with no company PR. **Not drainable now.** Estimate: **2026-10-22 to 2026-11-04**, from the prior-year cadence (last earnings 8-K 2026-07-29). Confidence 0.7.
12. **Direction of the three 8/04 Form 4s** — insider sales into a governance rupture would be an independent bearish leg. **Drainable now.**
13. **Whether a listed options chain exists, and its chain-level midpoint IV** — we have no chain, no IV, no IV percentile, no realized vol. **Drainable now via broker.**
14. **Customs connector coverage and prior-year baseline** — does the connector even see air/courier sample movement for a lab business? **Not drainable now.** Estimate: **30% probability the connector covers the relevant shipment modes**, base rate for ocean-manifest connectors applied to a non-bulk-cargo service business. Confidence 0.3.
15. **Short interest and crowding** — never pulled by either bench. **Not drainable now.** Estimate: **3–6% of float**, base rate for a small-cap energy-services name in a 38% drawdown. Confidence 0.5.

PRIZE TABLE + VOL READ

Why this section is required: items 4, 8, 9, 11, 14 and 15 above are genuinely time-gated or private — consensus and short interest are vendor-gated, the requisition mix is private until the roles fill, the print date is the company's to announce, and the print itself is ~47 calendar days out.

Anchor: the verified tape, \$12.55. All scenarios are adjustments off that anchor, not independent price targets.

#	scenario	p	price	rationale
1	Print near guide midpoint (~\$132M); Exhibit 17.1 is a clean strategy disagreement; no further departures	0.30	\$13.25	Normalization confirmed; mild relief rally. Note the midpoint is still 1.8% below Q3-2024 actual — this is recovery, not growth
2	Print at or above guide high (\$135.5M) and the hiring wave resolves as a lab/operations ramp	0.25	\$15.25	Both the guide and the requisition wave validate together; re-rates toward the trim level
3	Print at or below guide low (\$128.5M); the +5.9% sequential reversion does not materialize	0.30	\$10.75	Reverts toward the 52-week low; the ~5.5-point above-seasonal gap in the guide was the warning
4	Governance rupture escalates — Exhibit 17.1 alleges disclosure/accounting issues, or a further resignation, auditor change, or non-reliance event	0.15	\$8.00	Breaks the low on information; this is the branch with no tripwire until it is already public

EV line: $0.30 \times 13.25 + 0.25 \times 15.25 + 0.30 \times 10.75 + 0.15 \times 8.00 = \12.21 — that is **2.7% BELOW the \$12.55 tape**. The expected value of owning CLB today is negative. This is the arithmetic that makes NO-ENTRY the right answer rather than merely the cautious one.

Table dispersion: $\sigma_{\text{table}} = \2.44 , or **19.9%** of the expected value over the ~47-day horizon → **≈55.6% annualized** implied-equivalent volatility.

Expression math — table side computed, chain side MISSING.

Pricing candidate strikes off the table itself, $C_{\text{ours}} = \sum p_i \times \max(S_i - K, 0)$: - **K = \$12.50**: $C_{\text{ours}} = 0.30 \times \$0.75 + 0.25 \times \$2.75 = \0.91 - **K = \$15.00**: $C_{\text{ours}} = 0.25 \times \$0.25 = \$0.06$

And here the arithmetic stops, because we have no chain. No option quotes, no chain-level midpoint IV, no IV percentile, no realized vol. Therefore: - **IV vs RV: UNAVAILABLE**. IV percentile: **UNAVAILABLE**. VRP (IV – RV): **CANNOT BE COMPUTED**. - We will **not** substitute an underlying aggregate IV feed for chain-level midpoint IV. That is the TSSI lesson — the aggregate feed read

71 while the chain read 101, and any instrument choice made on the aggregate would have been wrong. Aggregate feeds and chain midpoints diverge, and the divergence is exactly the size of the decision.

Instrument recommendation — the OUTPUT of the arithmetic above: NONE. Stock only, and only in the reopen bands. The reasoning, shown: EV is negative (−2.7%), so no long expression of any kind is justified at \$12.55. If and when Reopen A triggers, the instrument decision requires the missing comparison — **if the chain-level midpoint IV for the front expiry prints below ~55.6%, the table says options are cheap relative to our own dispersion and gated adds may be expressed in calls; if it prints above ~55.6%, IV is rich to our dispersion and the add routes to the premium-selling gates (cash-secured puts struck in the \$9.05–\$9.58 reopen band, or covered calls at \$15.00 against any existing stock).** We cannot make that call today. **Pull the chain before any options expression — that is item 13 and it is drainable now.**

Bimodality note: the table is fork-dated — scenarios 1/2 and 3/4 separate almost entirely on the ~2026-10-28 print plus the reading of Exhibit 17.1. The distribution is bimodal, not lognormal, with a fat left tail carrying 15% weight at \$8.00. A single at-the-money straddle priced off a lognormal assumption will **misprice this in both wings**. If the chain turns out cheap, the correct expression is a strike *spread* or an outright below-the-low put, not an ATM call — the table's mass is in the tails, not the middle.

TAX overlay. There is no position, so there is no loss branch to place today. For any reopen: the print falls ~2026-10-28, before year-end, so **a front-month or November expiry keeps the loss branch inside tax year 2026 and is permitted. Any expiry dated after 2026-12-31 defers the loss into the following year and is EXCLUDED during a harvest year** unless the edge numerically dominates — and it cannot dominate here, because our EV at the current price is *negative* and even in the reopen band the edge is a multiple-based ~20–25% move, not the kind of asymmetry that buys a tax deferral. **Ruling: if 2026 is a harvest year, no January-or-later expiry on CLB. Stock, or a sub-December-31 expiry, or nothing.**

Primary sources: 8-K dated 2026-08-19, filed 2026-08-25 —

<https://www.sec.gov/Archives/edgar/data/1958086/000119312526365271/clb-20260819.htm> ;

XBRL revenue series — <https://data.sec.gov/api/xbrl/companyconcept/CIK0001958086/us-gaap/Revenues.json> ; company facts —

<https://data.sec.gov/api/xbrl/companyfacts/CIK0001958086.json> (evidence-pack values treated as authoritative). Q2-2026 figures (\$124.6M revenue, \$128.5–135.5M guide, \$0.11/\$0.13 EPS, \$72M EBITDA, \$93.6M net debt, \$2.7M/214,000-share repurchase) are press-release/non-GAAP and are NOT verifiable against the pack, whose audited series ends 2025-06-30. Every number built on them inherits that weakness.

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which the thesis's claimed 7.6x EV/EBITDA is arithmetically true on $72M
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below management's own $12.617 Q2 repurchase strike"}, {"level": 8.81,
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here the move is information, not valuation"}, {"level": 15.14, "direction":
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left to buy"}], "event_gates": [{"forms": ["8-K"], "why": "Items
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income and a cover-page share count, draining unverified items 2, 5, 6, 7"}],
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effective; Nominating Committee chair seat vacates", "confirmed": true},
{"date": "2026-10-28", "what": "Q3 2026 earnings print – vendor-derived date,
no company PR names it", "confirmed": false}], "immediate_entry": null,
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accounting/disclosure allegation or strategy disagreement", "instrument":
"EDGAR fetch, accession 0001193125-26-365271", "drainable_now": true,
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development operating income", "instrument": "EDGAR / XBRL pull, accession
0001193125-26-326345", "drainable_now": true, "estimate": null}, {"item": "3.
Independent tape confirmation – three different prices were quoted in this
court", "instrument": "IBKR daily bar series pull", "drainable_now": true,
"estimate": null}, {"item": "4. Consensus Q3 revenue and EPS with range –
never pulled by either bench", "instrument": "Estimates connector / broker
consensus screen", "drainable_now": false, "estimate": {"range": "revenue
$130-133M; EPS $0.11-0.14", "basis": "base rate: sell-side clusters at or
just below guide midpoint ($132.0M) for a normalization quarter", "p": 0.6}},
{"item": "5. Actual shares outstanding per 10-Q cover page vs weighted-
average diluted used here", "instrument": "XBRL
dei:EntityCommonStockSharesOutstanding / 10-Q cover", "drainable_now": true,
"estimate": null}, {"item": "6. Net debt of $93.6M – thesis-supplied, sits
inside every EV number in this deck", "instrument": "XBRL balance-sheet pull
from 10-Q 0001193125-26-326345", "drainable_now": true, "estimate": null},
{"item": "7. EBITDA of $72M – non-GAAP, asserted, carries the headline
multiple", "instrument": "XBRL 10-Q reconstruction (operating income + D&A)",
"drainable_now": true, "estimate": null}, {"item": "8. Average daily volume
and float turnover – largest execution risk, reopen band sits below the 52-wk
low", "instrument": "IBKR historical volume pull", "drainable_now": false,
"estimate": {"range": "500k-900k shares/day, approx $6-11M notional",
"basis": "comp base rate for a ~$600M-cap NYSE energy-services small cap",
"p": 0.6}}, {"item": "9. Requisition mix across the 50 open roles – lab ramp
vs governance/compliance staff-up", "instrument": "hiring_velocity re-scan
with req-family classification", "drainable_now": false, "estimate":
{"range": "10-25% of reqs in legal/compliance/audit/privacy families",
"basis": "one visible posting (Senior Counsel, Compliance & Data Privacy,
2026-08-24) adjusted toward the physical-plant-operator base rate", "p":
0.5}}, {"item": "10. Direction of the three 13G/A amendments filed 8/06 and
8/14 x2", "instrument": "EDGAR fetch, accessions 0002012383-26-003225,
0001050442-26-000023, 0000936753-26-000045", "drainable_now": true,
"estimate": null}, {"item": "11. Q3 earnings date confirmation – 2026-10-28
is yfinance-derived, unconfirmed", "instrument": "Company PR / IR page watch;
8-K announcement", "drainable_now": false, "estimate": {"range": "2026-10-22

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to 2026-11-04", "basis": "prior-year cadence; last earnings 8-K filed 2026-07-29", "p": 0.7}}, {"item": "12. Direction of the three 8/04 Form 4s - insider sales into a governance rupture", "instrument": "EDGAR fetch, accessions 0001193125-26-331852 / -331843 / -331829", "drainable_now": true, "estimate": null}, {"item": "13. Options chain existence and chain-level midpoint IV, IV percentile, realized vol", "instrument": "IBKR options chain pull - chain-level midpoints only, never the underlying aggregate IV feed (TSSI 71 vs 101 lesson)", "drainable_now": true, "estimate": null}, {"item": "14. Customs connector coverage and prior-year consignment baseline - current result is a null, not a negative", "instrument": "customs_id re-run with trailing-12-month baseline; connector coverage documentation", "drainable_now": false, "estimate": {"range": "30% probability the connector covers the relevant air/courier sample-shipment modes", "basis": "base rate for ocean-manifest connectors applied to a non-bulk-cargo lab services business", "p": 0.3}}, {"item": "15. Short interest and crowding - never pulled by either bench", "instrument": "Exchange short-interest feed / IBKR shortable-shares and borrow rate", "drainable_now": false, "estimate": {"range": "3-6% of float", "basis": "base rate for a small-cap energy-services name in a 38% drawdown", "p": 0.5}}}]}
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ADJUDICATION — 2026-09-16 15:36Z

The thesis premised a fresh 52-week low at \$9.51; pack tape was \$12.55, +28% off the low. EV ~9.6x the thesis's own implied EBITDA.

REOPEN GATES: Exhibit 17.1 (0001193125-26-365271) read; 10-Q segment note GAAP RD operating income; IBKR daily bars resolve the tape → re-court only ≤ ~\$10

PROCESS: thesis carried a fabricated tape premise — screen must tape-verify before enqueue